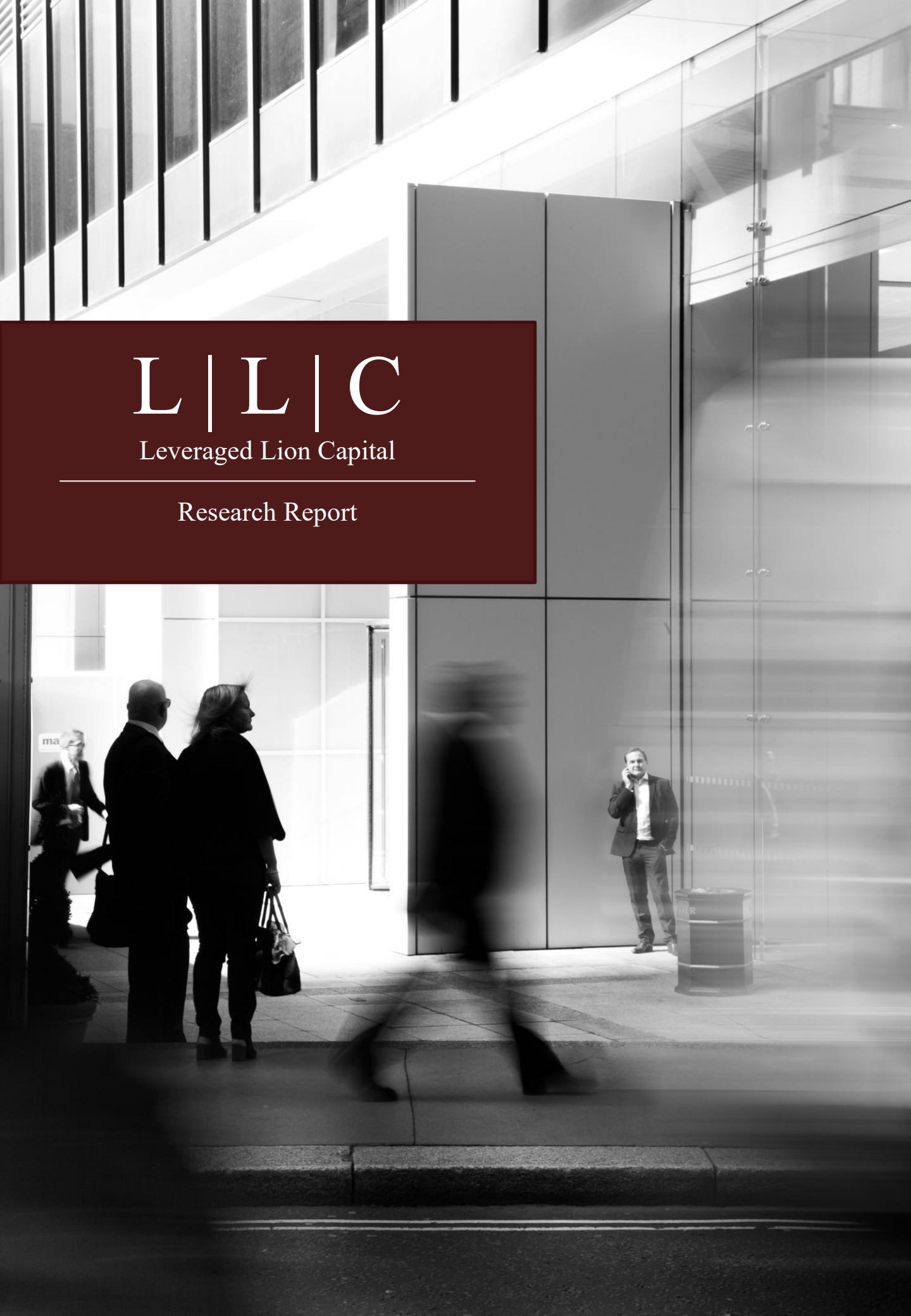




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Leveraged Lion Capital

Research Report

March Recap

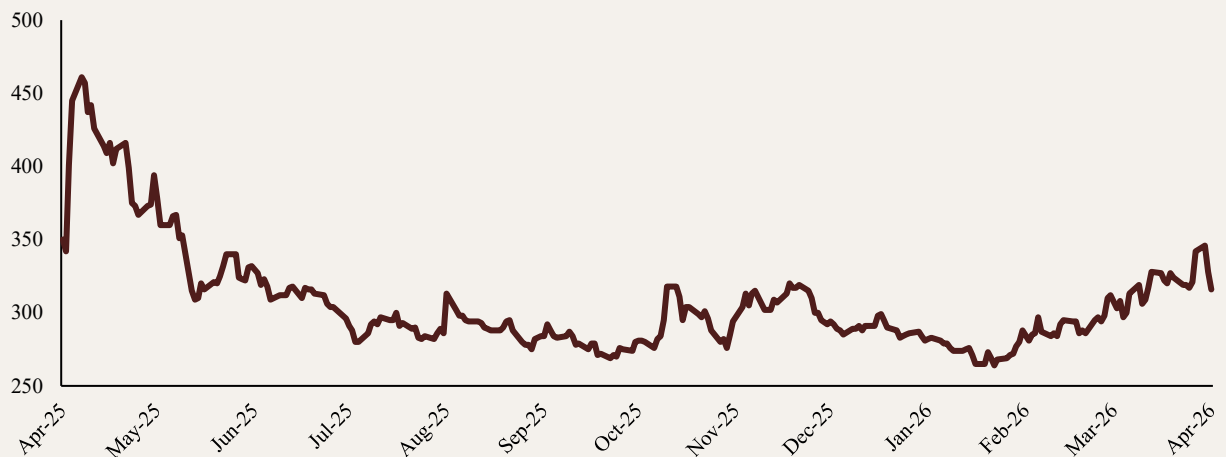
Inflation Fears and Equity Declines

March was largely driven by Geopolitical tensions that halted performance within equities and credit. Equity markets suffered five consecutive weeks of losses as the S&P 500 fell 4.30% in 1Q26. Software shocks due to high competition with AI have continued to halt returns within the equity market, BSL market, and private credit market.

Geopolitical tensions in the Middle East caused Brent crude oil to spike to over \$110.00/barrel during the month, while WTI also remains above \$110.00/barrel. This caused concerns over increased inflation, given the most recent PCE print was 2.80% in January before U.S gasoline prices surged to over \$4.00 per gallon for the first time in more than three years. The FED will likely keep rates “higher for longer”, and this projected increase in inflation was shown in 10-year Treasury yields widening by 33.00 bps in March to 4.30%.

Credit spreads widened and performance bled from High-yield to Investment Grade, but credit remained relatively stable compared to equities. Pockets of stress have emerged in private credit, as major firms like Blue Owl Capital, Apollo, and Blackstone have halted redemptions within their private credit funds.

HY OAS Spreads (bps)



Research Team



Phillip Babuscio
Director



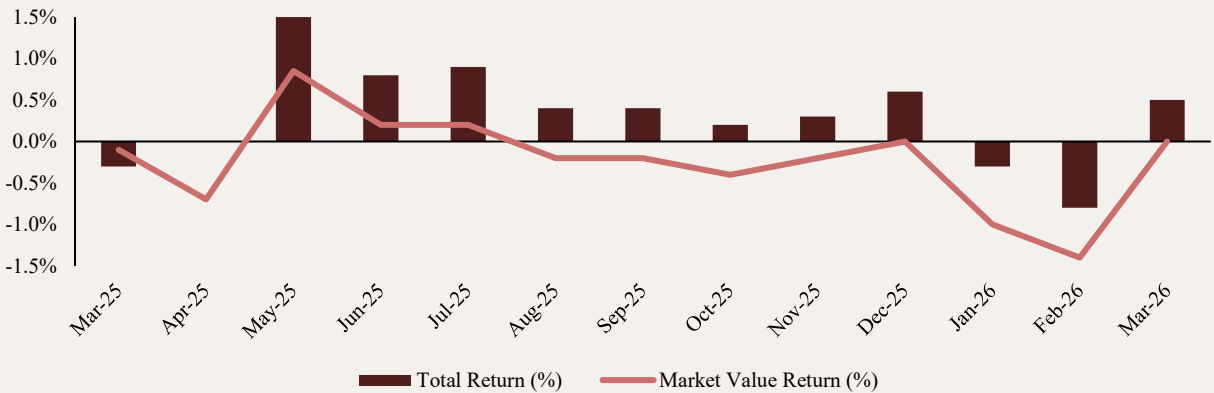
Matthew Zappetti
Director

Credit Markets

Loan Performance

In March, leveraged loans posted their first positive monthly return of 2026, returning 0.54%. This brings the YTD return to -0.55%. Issuance totaled \$33.00 bn, which is well below January's \$174.00 bn issuance or the 2025 monthly average of \$86.00 bn. Single-Bs returned 0.61% and had their first outperformance over BBs since December, as investors reengaged in lower-rated credits. BBs are still outperforming single-Bs and CCCs YTD, returning 0.71% while the rest are in the red. Software loans rebounded and returned 1.30% in March, but they are down almost 6.00% YTD. The stabilizing was K-shaped, as higher-quality credit rebounded while the number of distressed loans increased.

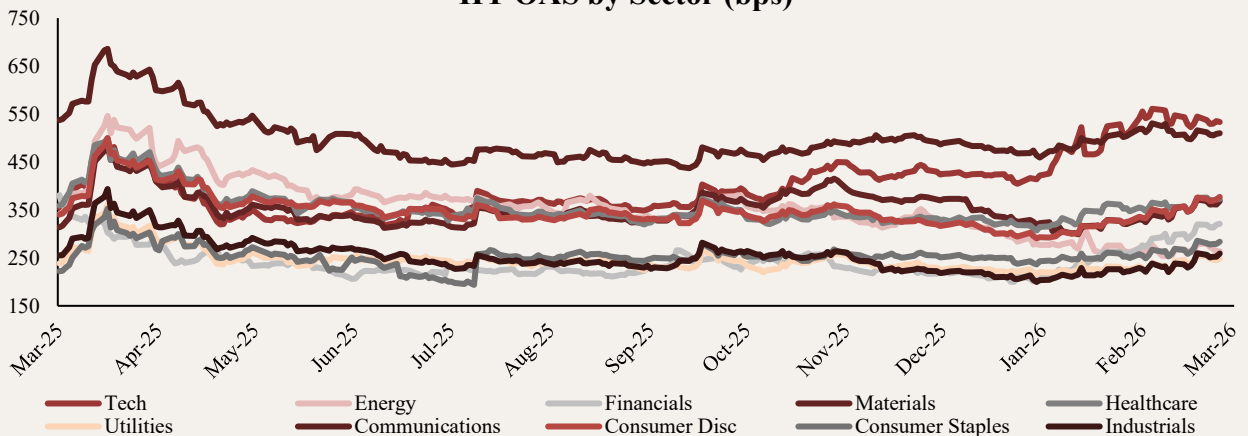
U.S. Leveraged Loan Returns (%)



Spread Decompression

HY credit spreads widened 37.00 bps in the month of March. Spreads have tightened in the last week from 346.00 bps on March 30th to 316.00 bps on April 1st. From a ratings perspective, BB spreads widened 31.00 bps to 222.00 bps, single-B spreads widened 10.00 bps to 346.00 bps, and CCC spreads widened 68.00 bps to 1020.00 bps. In the month of March, BBs returned -1.12%, single-Bs returned -1.80%, and CCCs returned -1.72%. BBs, single-Bs, and CCCs returned -1.07%, -1.48%, and -1.97% YTD, respectfully. Generally speaking, lower quality credit rebounded in March due to a shift in rate sentiment, and investors flocking towards lower duration credit. On a distressed level, the average one-year expected default for all US listed companies fell to 8.80% from 9.00% in January.

HY OAS by Sector (bps)

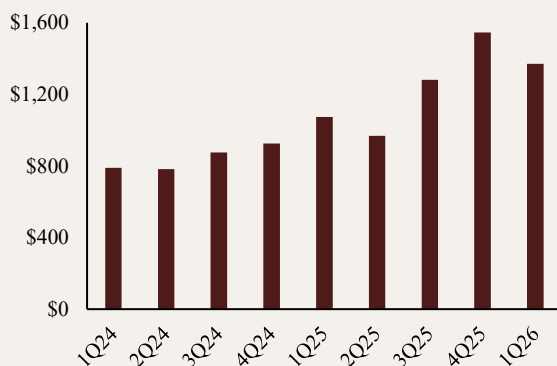


Broader Markets

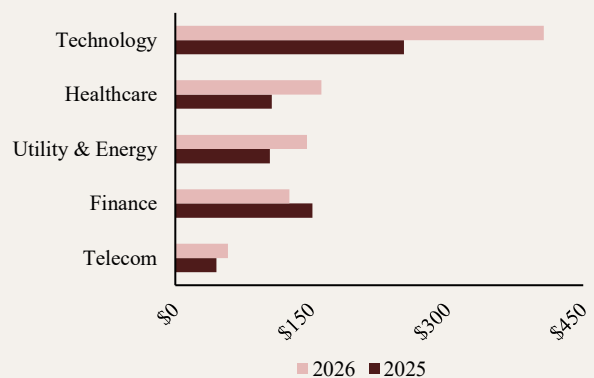
M&A Activity

1Q26 marked a strong start for large corporate deals, with 22 transactions valued at \$10.00 bn or more announced globally, surpassing the previous record of 21 set in Q4 2015. Total deal value rose roughly 29.00% YoY, though deal count fell more than 17.00%, reflecting a market increasingly driven by large, strategic transactions. Within biopharma specifically, March accounted for 22 of Q1's 41 total deals and nearly 66.00% of the quarter's total proposed spend, pushing Q1 valuations to approximately \$54.88 bn, a 19.00% increase since 4Q25. The concentration of multibillion-dollar bids signaled that buyers are moving decisively to address pipeline gaps and approaching patent cliffs.

Global M&A by Quarter (\$ bn)



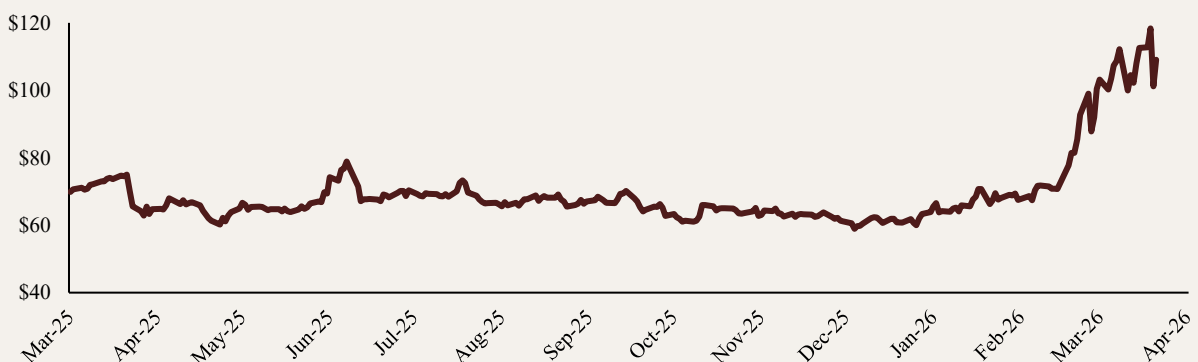
Top 5 Global Sectors in M&A (\$ bn)



Macro Trends

The macro backdrop in March 2026 was shaped largely by the ongoing US-Israel conflict with Iran, which drove oil prices sharply higher throughout the month. Brent crude surged from roughly \$70.00 per barrel before the conflict to a peak of nearly \$120.00 per barrel, settling around \$110.00 per barrel by month end. The supply disruption, driven by severely restricted flows through the Strait of Hormuz, represented one of the largest oil shocks in recent history. On inflation, the February CPI came in at 2.40% YoY, though economists widely expected the March print to move higher as energy costs filter through. The labor market continued to soften, with February nonfarm payrolls declining by 92,000 and unemployment holding at 4.40%, with March payrolls projected to recover only modestly to around 59,000 to 60,000 jobs added.

Brent Crude Spot Price



Broader Markets (cont.)

Private Credit

Private credit market sentiment remains under pressure, with elevated investor redemptions in BDCs pushing credit managers to seek liquidity through a nascent secondary market that has more loans for sale than ever before. However, supply is outpacing demand, with most offers sitting at or near par and buyers not engaging in a systematic way, leaving aftermarket liquidity thin.

On the fund side, the US Department of Labor unveiled a proposal to move private credit assets closer to broad inclusion in 401(k) retirement portfolios, though the timing was noted as awkward given the souring retail investor sentiment. Large corporate direct lending spreads held steady at 302.00 bps over base rate as of April 2, with a 90-day rolling average yield of 6.98%, while average new issue first lien statistics for deals over \$500.00 mm showed a spread of 348 bps, a 7.00 bps floor, an offer price of 98.88% and a yield to maturity of 7.60% across 21 deals in the last 30 days.

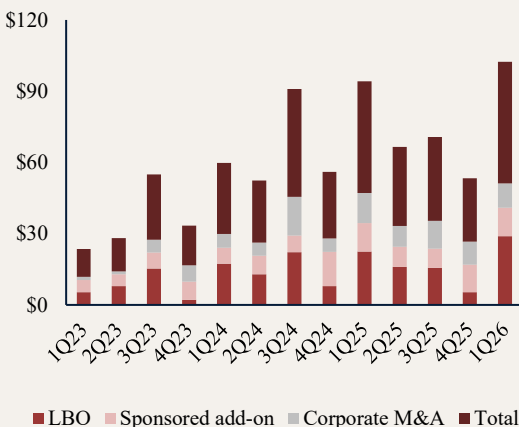
Bond Issuance

High yield bond issuance slowed down in the past month, totaling just \$3.10 bn in the final week of March, down from \$10.49 bn the prior week as market volatility stemming from the Iran war and surging oil prices kept borrowers cautious. March closed with nearly \$21.00 bn in issuance, the lightest month since October 2025 and the lowest March total in three years. The high-grade market saw an even steeper pullback, with weekly volume plunging to just \$8.00 bn against a trailing four-week average of \$55.60 bn, though Q1 high grade issuance still reached a record \$616.00 bn. Year to date high yield volume of \$82.82 bn remains 19.00% ahead of the comparable 2025 period.

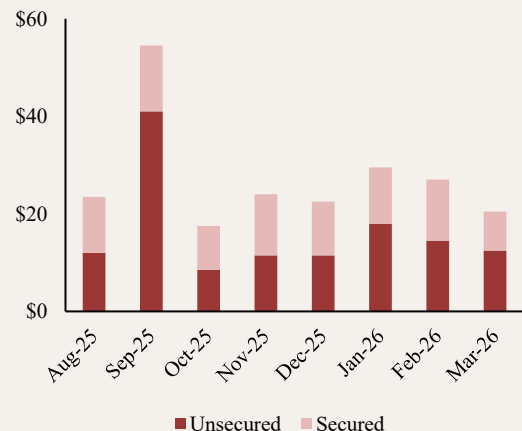
Loan Issuance

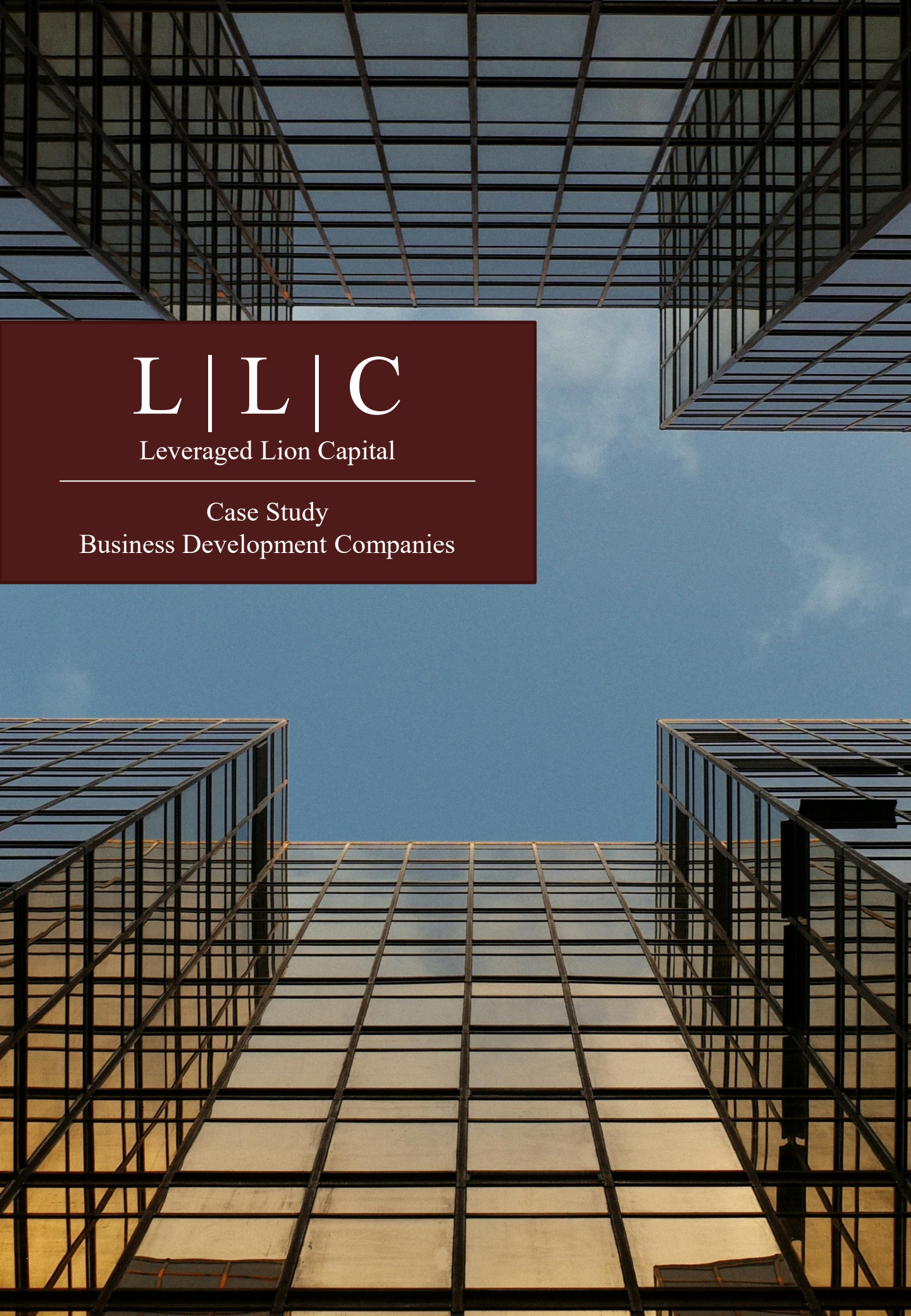
Leveraged loan issuance was also constrained to end off the month, with roughly \$33.00 bn launched in each of February and March, a fraction of January's \$174.00 bn and well below the 2025 monthly average of \$86.00 bn. Repricings came to a standstill in March, and despite the broader slowdown, a handful of large M&A driven transactions helped push LBO and M&A driven broadly syndicated loan issuance to a four year high for Q1 at \$51.20 bn, though investor demand remained selective.

U.S. M&A Loan Issuance (\$ bn)



New Issue High Yield Bonds (\$ bn)



A low-angle, upward-looking photograph of several modern skyscrapers with glass facades. The buildings are arranged in a way that creates a sense of height and scale, with the sky visible in the background. The glass reflects the sky and the surrounding buildings, creating a complex pattern of lines and reflections.

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Leveraged Lion Capital

Case Study
Business Development Companies

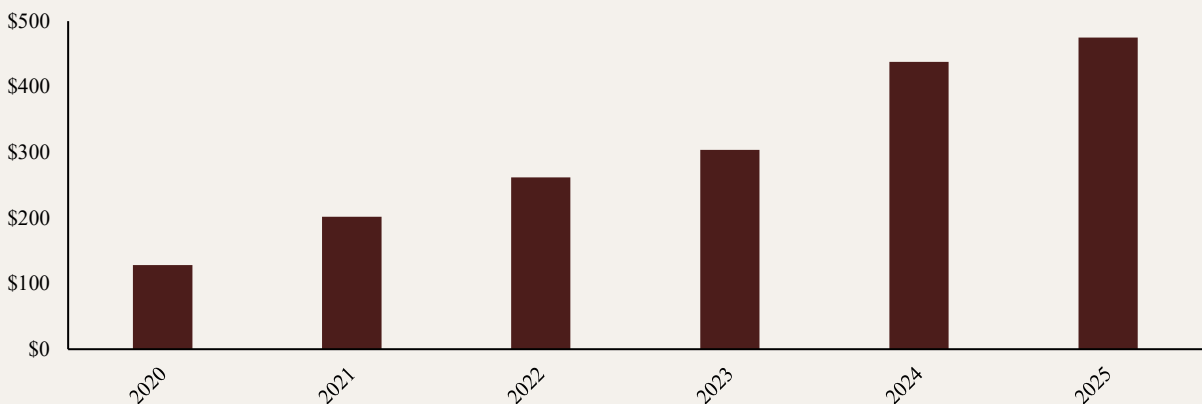
Business Development Companies

Overview

“Business Development Companies” are investment vehicles that provide financing to small and mid-sized businesses, allowing investors access to different asset classes like private credit. There are three different types of BDC’s, separated by how they are traded. Publicly traded BDCs are listed on a stock exchange and investors can buy and sell shares at any time. This is the most common and transparent form of BDCs. Non-traded BDCs are not listed on an exchange but are registered with the SEC. They are less liquid and redemptions are limited. Private BDCs are not registered and are only available to institutional or high net worth investors. Many companies use the BDC structure for regulatory or tax benefits.

Currently, there are 50 publicly traded BDCs with \$159.00 bn in assets, 47 non-traded BDCs with \$205.00 bn in assets, and 59 private BDCs with \$69.00 bn in assets. In total, the BDC market sits at \$475.00 bn. Some of the largest BDCs include Ares Capital Corp with net assets of \$14.32 bn, Blue Owl Capital Corporation with net assets of \$7.40 bn, and Blackstone Secured Lending Fund with net assets of \$6.25 bn.

BDC Market Size (\$bn)



BDC’s Role Within Private Credit

Although private credit spans a wide range of lending activities across many different asset classes, the most mainstream and largest segment is middle market direct lending. BDCs are primarily vehicles for middle market direct lending, and they represent around 25.00% of the private credit market. BDCs channel capital from a wide range of investors, including retail investors, directly into middle market loans. Simply put, private credit has over a trillion dollars in AUM and BDCs are the only real way most investors can access it.

An important role that BDCs play is a transparency proxy for the entire private credit market. Private credit funds and portfolios are not publicly disclosed, so market participants rely on BDCs as a reference point for the market, as they report quarterly and provide detailed information on their holdings. Furthermore, banks are starting to increasingly fund BDCs and other private credit vehicles, as credit lines extended by large U.S. banks to private credit vehicles increased by around 145.00% between 2020 and 2024, and eventually reaching \$95.00 bn in 2024. One of the biggest concerns about BDC portfolios is their concentration in tech and software; public BDCs have 20.80% of their portfolios in software companies and another 21.00% in tech.

Business Development Companies (cont.)

Risk Considerations

Not all BDCs carry the same risk profile. Key metrics to evaluate include interest coverage ratios, loan-to-value ratios, fund-level leverage, and first versus second lien exposure. Risk is far from uniform across the BDC landscape, and not all managers apply the same credit discipline, making bottom-up analysis essential when evaluating individual vehicles. Many BDC portfolios contain loans originated between 2018 and 2021, a period characterized by looser underwriting standards, tighter spreads, and near-zero base rates. As refinancing windows narrow and debt costs remain elevated, these older vintages, particularly those lacking covenants or strong lender protections, face increasing pressure and warrant close monitoring.

PIK Interest

The use of payment-in-kind interest in BDC portfolios has been rising. As of Q1 2025, gross PIK as a percentage of net investment income and total investment income averaged close to 14.00% across the BDC market. While PIK is not inherently problematic, elevated levels can obscure borrower weakness and compound credit risk over time, making portfolio-level and issuer-level PIK exposure an important due diligence consideration.

Ivanti Downgraded

Eleven public and private BDCs hold approximately \$105.00 mm in Ivanti's first and second lien debt. After being placed on watch in 2022, the company was downgraded to CCR 4 in early 2025 as valuation discounts on its debt nearly tripled through mid-2024 and continued to worsen. The case highlights how concentration in tech and software, which accounts for over 41.00% of public BDC portfolios on average, can amplify credit losses when individual names deteriorate.

KKR Downgraded

In March 2026, Moody's downgraded FS KKR Capital Corp, a \$14.00 bn BDC co-managed by KKR and FS Investments, from investment grade to junk. Non-accrual loans had risen to 5.50% of total investments, PIK income stood at 14.70% of total investment income versus a peer median of 6.30%, and the fund posted just \$11.00 mm in net income for full year 2025. The downgrade was broadly viewed as a market-wide signal of growing stress across the BDC landscape.

BDC Portfolio Yield vs. Base Rates

